

Q: 1

Original Entry	Wrong Entry	Corrected Entry
1) Error of omission Machine 4 390 L Pyle 4 390		Machine 4 390 L Pyle 4 390
2) Error of commission J Harris 678 Sales 678	J Hart 678 Sales 678	J Harris 678 J Hart 678
3) Error of principle Van 3 800 Bank 3 800	Motor expenses 3 800 Bank 3 800	Van 3 800 Motor expenses 3 800
4) Complete reversal entry Cash 77 T Health 77	T Health 77 Cash 77	Cash 154 T Health 154
5) Error of original entry K King 40 Sales 40	K King 25 Sales 25	K King 15 Sales 15
6) Transposition error E Fitzwilliam 221 Sales 221	E Fitzwilliam 212 Sales 212	E Fitzwilliam 9 Sales 9
7) Error of principle Cash 257 Commission rec. 257	Cash 257 Sales 257	Sales 257 Commission rec. 257
8) Error of principle Purchases 189 Cash 189	Drawings 189 Cash 189	Purchases 189 Drawings 189
9) Error of principle Discount allowed 366	Discount received 366	Discount allowed 366 Discount received 366
10) Error of commission Cash 880 Commission rec. 880	Cash 880 Rent received 880	Rent received 880 Commission rec. 880

Q: 2

Original Entry	Wrong Entry	Corrected Entry
1) Error of principle Bank 10 000 Capital 10 000	Bank 10 000 Sales 10 000	Sales 10 000 Capital 10 000
2) Error of omission Rent 2 000 Cash 2 000		Rent 2 000 Cash 2 000
3) Error of principle Drawings 700 Purchases 700	General expenses 700 Purchases 700	Drawings 700 General expenses 700
4) Error of commission Purchases 44 C Simons 44	Purchases 44 C Simpson 44	C Simpson 44 C Simons 44
5) Error of principle Drawings 89 Bank 89	Insurance 89 Bank 89	Drawings 89 Insurance 89
6) Transposition error Purchases 857 C Kelly 857	Purchases 587 C Kelly 587	Purchases 270 C Kelly 270
7) Complete reversal entry Bank 390 Cash 390	Cash 390 Bank 390	Bank 780 Cash 780
8) Error of commission Drawings 400 Cash 400	Drawings 400 Bank 400	Bank 400 Cash 400
9) Error of commission Returns inwards 168 K King 168	Returns inwards 168 J King 168	J King 168 K King 168
10) Error of principle Cash 1 000 Van 1 000	Cash 1 000 Motor expenses 1 000	Motor expenses 1 000 Van 1 000

Q: 3 (a)

Original Entry	Wrong Entry	Corrected Entry
1) Error of commission		
Purchases 699	Purchases 699	H Wood 699
K Ward 699	H Wood 699	K Ward 699
2) Error of commission		
Bank charges 77	Rent 77	Bank charges 77
Bank 77	Bank 77	Rent 77
3) Error of omission		
Sundry expenses 23		Sundry expenses 23
Bank 23		Bank 23
4) Error of principle		
Fixtures 478	Purchases 478	Fixtures 478
Cash 478	Cash 478	Purchases 478
5) Transposition error		
Purchases 56	Purchases 65	P Maclaran 9
P Maclaran 56	P Maclaran 65	Purchases 9
6) Error of principle		
Returns inwards 833	Returns outwards 833	Returns inwards 833
		Returns outwards 833
7) Complete reversal entry		
Drawings 250	Purchases 250	Drawings 500
Purchases 250	Drawings 250	Purchases 500
8) Error of commission		
Cash 5 000	Cash 5 000	Capital 5 000
Loan (R Smiley) 5 000	Capital 5 000	Loan (R Smiley) 5 000
9) Error of original entry		
Bank 400	Bank 600	Rent received 200
Rent received 400	Rent received 600	Bank 200
10) Error of principle		
Interest 500	Premises 500	Interest 500
Cash 500	Cash 500	Premises 500

(b)

Error of omission: it arises when a transaction is completely omitted (ignored) from the books. The trial balance would still balance.

Error of commission: This type of error occur when the correct amount is entered but in the wrong person's account or wrong class. An item is recorded as another item but of the same nature for example an asset is recorded in another asset account.

Error of principle: When an item is entered in the wrong class of account or when a capital item is recorded as a revenue item and vise-e-versa.

Complete reversal of entry: A debit item is recorded as a credit item and credit item is recorded as a debit item.

Error of original entry: It arises when both debit and credit aspects of a transaction are correctly recorded but with incorrect amounts.

Transposition error: Where the wrong sequence of individual characters with in a number was entered. For example \$142 entered instead of \$124.

Q: 4

(a)

Jason Moor
Trial Balance as at 31 Oct 2008

	Dr	Cr
	\$	\$
Provision for doubtful debts		150
Capital		16 550
Drawings	8 000	
Plant and equipment	18 000	
Provision for depreciation of plant and equipment		3 000
Inventory	4 000	
Receivables	3 000	
Payables		2 000
Cash	1 500	
Sales		40 000
Purchases	21 000	
Sundry expenses	<u>6 200</u>	
	<u>61 700</u>	<u>61 700</u>

(b)

1. Trial balance verifies the arithmetical accuracy of the double entry. It is desired to prove that the total of accounts with debit balances is equal to the total of accounts with credit balance.
2. Trial balance use as a base for preparation of financial statements.

(c)

Error of omission: Complete omission of a transaction.
Error of commission: Correct amount entered in incorrect account of correct class.
Error of principle: Item entered into incorrect class of account.
Error of original entry: Item entered at incorrect amount in both accounts.
Error of reversal: Debit entry posted as credit and vice versa.
Transposition error: Error in sequence of numbers in both accounts.

	Dr	Cr
(d) (1) Purchases	3 000	
Plant and equipment		3 000
(2) Payables	1 000	
Cash		1 000

Q: 5

(a)	Dr	Cr
1. Purchases	400	
Suspense		400
2. Suspense	70	
Rent		70
3. J. Lee	910	
Suspense		910
4. Simpson	700	
Simpkins		700
5. Suspense	240	
Sundry Expenses		240
6. Suspense	90	
Suimat		90
7. ---	--	
Suspense		100
8. Suspense	280	
Purchases		280
9. Suspense	360	
Bank		360
10. Suspense	270	
F Kerry (410 – 140)		270
11. Discount allowed	190	
Discount received	190	
Suspense		380

(b) Suspense Account

	\$		\$
Difference in T.B (Bal.fig)	480	Purchases	400
Rent	70	J Lee	910
Sundry expenses	240	Receivables	100
Suimat	90	Discount allowed	190
Purchases	280	Discount received	190
Bank	360		
F Kerry	270		
	<u>1 790</u>		<u>1 790</u>

Q: 6

(a) Suspense Account

	\$		\$
B Lee	45	Difference in trial balance	500
M Fish	500	(121 900 – 121 400)	
Sundry expenses	146	Sales	200
Trade payables	9		
	<u>700</u>		<u>700</u>

	Dr	Cr
i) Fixtures	400	
Purchases		400
ii) Sales	200	
Suspense		200
iii) Suspense	45	
B Lee		45
iv) Suspense	500	
M Fish		500
v) Suspense	146	
Sundry expenses		146
vi) Suspense	9	
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(b)

C. Victor
Adjusted Trial Balance as at 30 June 2004

	Dr \$	Cr \$
Capital 1 July 2003		20 000
Drawings	9 000	
Fixtures and Fittings (5 600 + 400)	6 000	
Receivables (9 500 – 45)	9 455	
Payables (4 700 + 500 + 9)		5 209
Inventory 1 July 2003	7 900	
Cash at Bank	8 640	
Sales (96 700 – 200)		96 500
Purchases (75 500 – 400)	75 100	
Sundry expenses (5 760 – 146)	5 614	
	<u>121 709</u>	<u>121 709</u>

Q: 7

(a) and (b)

	Dr \$	Cr \$
1. Error of principle		
Sales	3 000	
Equipment disposal		3 000
2. Complete reversal of entries		
Purchases	1 300	
Alana		1 300
3. Error of omission		
Buildings insurance	425	
JGL Insurance		425
4. Error of omission		
Purchases	2 000	
A Morston		2 000
5. Error of commission		
T Cley	650	
C Tilley		650
6. Error of principle		
Motor vehicles expenses	500	
Motor vehicle		500
7. Error of reversal		
C Lee	380	
Discount allowed		190
Discount received		190

(c)

	Gross profit \$	Net profit \$
Draft profit	60 000	15 000
Error 1	(3 000)	(3 000)
Error 2	(1 300)	(1 300)
Error 3	—	(425)
Error 4	(2 000)	(2 000)
Error 5	—	—
Error 6	—	(500)
Error 7 (190 + 190)	—	380
Revised profit	<u>53 700</u>	<u>8 155</u>

Q: 8**(a)**

General journal

	Dr	Cr
	\$	\$
Suspense	9 800	
Rent payable		4 900
Rent receivable		4 900
Suspense	900	
General expenses		900
Purchases	3 400	
Suspense		3 400

(b)

Suspense account

	\$		\$
Rent payable	4 900	Difference in T.B	7 300
Rent receivable	4 900	Purchases	3 400
General expenses	900		
	<u>10 700</u>		<u>10 700</u>

(c)

			\$
Draft profit for the year			15 600
	Increase	Decrease	
	\$	\$	
1 Rent receivable, \$4900, had been debited to the Rent payable account.	4 900 4 900		
2 General expenses paid, \$1200, had been correctly entered in the cash book, but had been recorded in the general expenses account as \$2100.	900		
3 No debit entry had been made for purchases on credit from Ploy, \$3400.		3 400	
	10 700	3 400	7 300
Revised profit for the year			22 900

(d)

1 Commission is an error of posting in the same class.

Principle is an error of posting to a different class.

2 Compensation is the result of more than one error in posting which compensate each other.

Reversal occurs where both the entries are reversed for a single error.

Q: 9

(a)

Nadia Suspense account			
2020	\$	2020	\$
Mar 31 Purchases	110	Mar 31 Diff in T.B (bal.fig)	24
Commission payable	65	Discount allowed	28
Commission receivable	65	Insurance	18
		Drawings	<u>170</u>
	<u>240</u>		<u>240</u>

(b)

- (i) (Error 6) Error of principle
(ii) (Error 7) Error of commission

(c)

Nadia Statement of corrected profit for the year ended 31 March 2020				
Profit for the year before corrections	No effect	Increase in profit \$	Decrease in profit \$	\$ 6 720
Error 1		110		
Error 2			28	
Error 3			18	
Error 4		130		
Error 5	Nil			
Error 6			190	
Error 7	Nil			
Corrected profit for the year		<u>240</u>	<u>236</u>	<u>6 724</u>

(d)

Nadia Journal			
Date	Details	Debit	Credit
2020		\$	\$
March 31	Irrecoverable debts	300	
	DD Supplies		300
March 31	Income statement	284	
	Provision for doubtful debts		284